

Amazon.com Inc. (AMZN)

\$122.42 (As of 07/22/22)

Price Target (6-12 Months): **\$141.00**

Long Term: 6-12 Months

Zacks Recommendation:

Outperform

(Since: 06/11/21)

Prior Recommendation: Neutral

Short Term: 1-3 Months

Zacks Rank: (1-5)

3-Hold

Zacks Style Scores:

VGM:D

Value: C

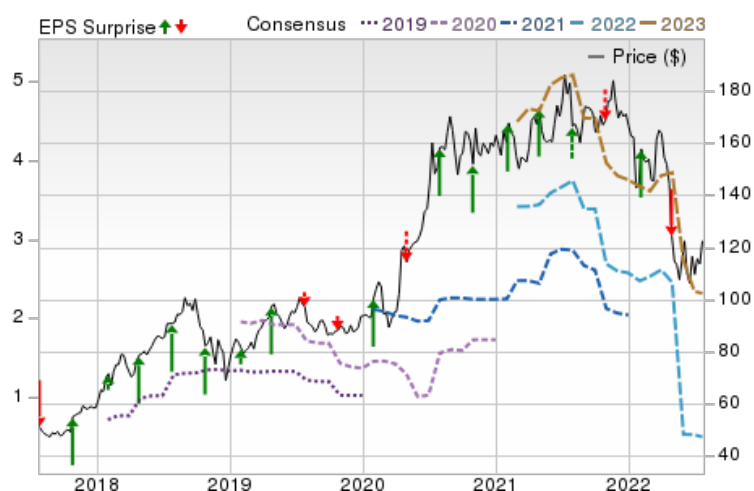
Growth: C

Momentum: F

Summary

Amazon is gaining on solid Prime momentum owing to ultrafast delivery services and strong content portfolio. Further, strengthening relationship with third-party sellers is a positive. Also, growing momentum across Amazon Music is contributing well. Notably, the stock has outperformed its industry on a year-to-date basis. Strong adoption rate of AWS is aiding the company's cloud dominance. Also, expanding AWS services portfolio is continuously helping Amazon in gaining further momentum among the customers. Further, robust Alexa skills and expanding smart home products portfolio are positives. Additionally, the company's strong global presence and solid momentum among the small and medium businesses remain tailwinds. However, growing expenses associated with supply-chain constraints and labor supply shortages remain concerns.

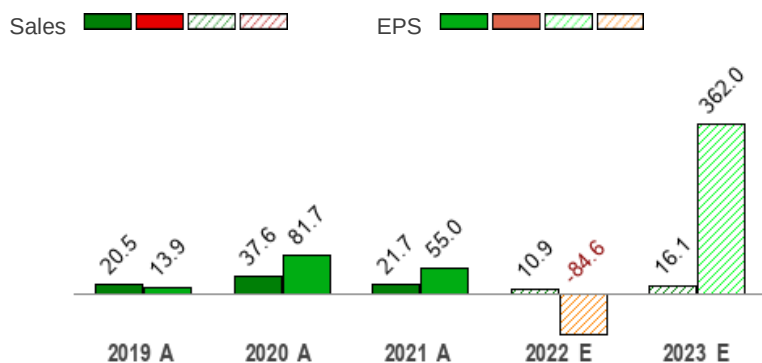
Price, Consensus & Surprise



Data Overview

52 Week High-Low	\$188.11 - \$101.26
20 Day Average Volume (sh)	61,467,456
Market Cap	\$1,245.5 B
YTD Price Change	-26.6%
Beta	1.25
Dividend / Div Yld	\$0.00 / 0.0%
Industry	Internet - Commerce
Zacks Industry Rank	Top 38% (97 out of 252)

Sales and EPS Growth Rates (Y/Y %)



Last EPS Surprise	-51.4%
Last Sales Surprise	-0.5%
EPS F1 Est- 4 week change	-8.1%
Expected Report Date	07/28/2022
Earnings ESP	34.1%

Sales Estimates (millions of \$)

	Q1	Q2	Q3	Q4	Annual*
2023	136,899 E	140,810 E	151,714 E	185,891 E	605,042 E
2022	116,444 A	119,722 E	127,855 E	158,592 E	521,157 E
2021	108,518 A	113,080 A	110,812 A	137,412 A	469,822 A

EPS Estimates

	Q1	Q2	Q3	Q4	Annual*
2023	0.54 E	0.52 E	0.61 E	0.84 E	2.31 E
2022	0.21 A	0.15 E	0.30 E	0.46 E	0.50 E
2021	0.79 A	0.76 A	0.31 A	1.39 A	3.24 A

*Quarterly figures may not add up to annual.

P/E TTM	46.0
P/E F1	244.8
PEG F1	9.9
P/S TTM	2.6

The data in the charts and tables, including the Zacks Consensus EPS and sales estimates, is as of 07/22/2022. The report's text and the analyst-provided price target are as of 07/25/2022.

Overview

Amazon.com is one of the largest e-commerce providers, with sprawling operations in North America, now spreading across the globe.

Its online retail business revolves around the Prime program well-supported by the company's massive distribution network. Further, the Whole Foods Market acquisition helped Amazon establish footprint in physical grocery supermarket space.

Amazon also enjoys dominant position in the cloud-computing market, particularly in the Infrastructure as a Service (IaaS) space, thanks to Amazon Web Services (AWS), which is one of its high-margin generating businesses.

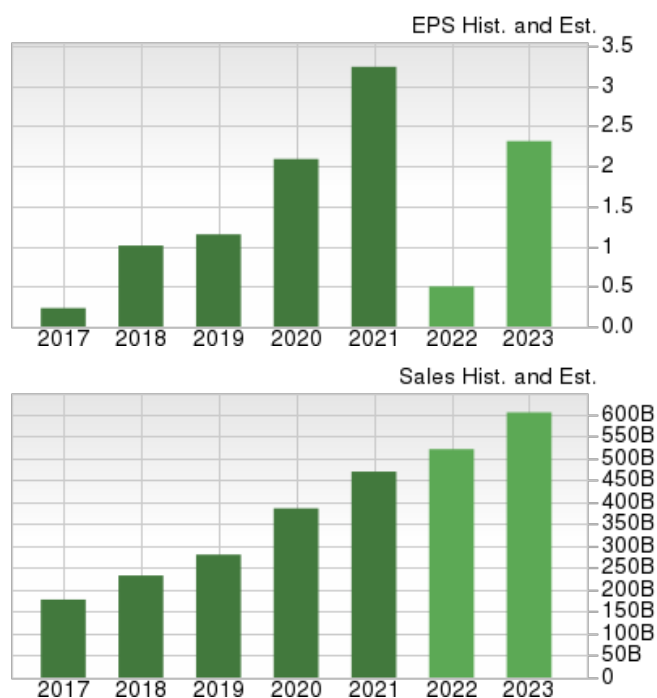
Amazon has also become a household name with its Alexa powered Echo devices. Artificial Intelligence (AI) backed Alexa is helping the company sell products and services.

Revenues were \$469.8 billion in 2021. The company reports revenue under three broad heads—North America, International and AWS, which generated 60%, 27% and 13% of total revenues, respectively.

Headquartered in Seattle, WA, Amazon targets three categories of customers—consumers, sellers and website developers. Consumers are offered variety, convenience and free delivery of goods displayed on the company's websites.

The agreements with sellers are varied, enabling them to use the company's websites to either sell their merchandise directly, or redirect customers to the sellers' own branded websites. In case of the latter arrangement, Amazon earns a fee for the sales thus generated.

Competition comes in the form of traditional retailers, other online retailers, media companies, web portals, search engines, e-commerce companies and cloud computing service providers.



Reasons To Buy:

- ▲ Amazon.com is **one of the largest e-commerce companies** in the world. Although the primary product line was books at first, the company rapidly diversified into a host of other product categories. The current focus is on building video content, primarily for Prime subscribers because the growth prospects in that market are considerable. Product selection, a superior user experience, bargains and customer feedback have helped the company build a strong position for itself in the fast-growing ecommerce market. The growth of the e-commerce industry with consumers increasingly buying things online has proved to be favorable for the company. While the big brands may build their own online stores over time, a platform like Amazon allows discovery by new buyers. Smaller players are far more dependent on Amazon as they don't have the resources that Amazon has to invest in technology and fulfilment to generate the kind of reach that Amazon can deliver. Moreover, considering opportunities in international markets, the company's high growth rates are likely to be sustained over the next few years.
- ▲ Amazon keeps its retail business very hard to beat on price, choice, and convenience with the help of a solid loyalty system in **Prime and its FBA strategy**. The company continues to push advantages exclusively to Prime members, thus encouraging them to spend more on Amazon. The current focus is on building video content, primarily for Prime subscribers because the growth prospects in the market are considerable. Prime members are much more loyal and spend double the amount spent by non-Prime members.
- ▲ Amazon's strategy of **merging online and offline retail** looks promising. It will not only reshape the retail landscape but also help it fend off competition, if it could manage a first mover advantage. It has added online and offline features to its bookstores and is going the same way with innovations such as drive-in-grocery delivery service (AmazonFresh Pickup - order groceries online and collect them from a store nearby) and "cashier-less" stores (Amazon Go – the company's first brick-and mortar grocery store). We expect online retail sales to decelerate while the overall retail market still holds a lot of potential. So, moves like these will help Amazon tap a large number of customers who prefer to shop offline, while not doing away with the online business.
- ▲ Amazon is the leading provider of cloud infrastructure as a service to enterprise customers. The expanding customer base of **Amazon Web Services (AWS)** driven by its strengthening cloud offerings will continue to aid Amazon's dominance in the global cloud space. Even more encouraging is the fact that AWS generates much stronger margins than the traditional retail business, which should remain a positive for the company's profitability as it continues to grow in the mix. AWS is gaining momentum with customers including Meta, Roche, adidas, NXP Semiconductors, PGA TOUR, National Hockey League, ViacomCBS, Boom Supersonic, MercadoLibre, Western Union, Klarna, Old Mutual, Adobe, Pinterest, Spotify, Tata Motors, Unilever, McDonalds and BMW, to name a few.
- ▲ Amazon is pushing well with its **devices strategy**. Alexa powered Echo devices are going great guns and help the company sell products and services. Artificial intelligence (AI) driven Alexa has already been integrated into a host of everyday devices for the digital home, which has converted the nascent smart home market into a potential area of growth in a very short time. Moreover, the company is benefiting from increasing number of Alexa compatible smart devices. The company is racing to build an ecosystem around Alexa and it's safe to say that it has taken an early lead over Google's smart assistant and Microsoft's Cortana.
- ▲ Amazon is gradually choosing the **buy option over build**, which, along with the other positives, ensures that the company generates revenues right way without wasting any time in building its own infrastructure. The company's acquisition of a Dubai-based e-commerce giant, Souq.com. is helping it to strengthen presence in countries like Egypt, Saudi Arabia, and the UAE markets like Egypt, Saudi Arabia, and the UAE. Amazon's retail market share is still relatively small in these markets, but there is a good possibility of an increase in the next few years. If this happens, the company will see additional several billion dollars a year in revenues. The company acquired natural and organic foods supermarket, Whole Foods Market for \$13.7 billion. Through this acquisition, the company is gaining traction across a large customer base that still prefers to shop at physical stores. This is Amazon's way of tackling mounting competition and slow growth in the e-commerce space. Amazon has also acquired Body Labs, a startup that develops AI, computer vision and body-modelling based 3D body shapes and motion for various industries. It also acquired GameSparks to spruce up its gaming capabilities.

Amazon is benefiting from its Prime program, delivery and logistic system in the e-commerce space. Further, its dominant position in cloud market is a positive.

Risks

- There is a downside to a growing international business in the current economic environment. While expansion opportunities automatically increase, **currency** also starts playing a bigger role. Currency continues to have a significantly negative impact on its e-commerce results, which is now being offset by strength in AWS. Since the dollar remains strong at the moment and the situation may not change much for the rest of the year as well, there will be pressure on Amazon's profitability. The risk should be hedged however as AWS increases in the mix. AWS revenues are dollar-denominated while a lot of the assets were located in low-cost regions meaning that reduced competitiveness from the rising dollar would potentially be compensated by lower costs. Also note that once companies have migrated to its AWS platform, it will be difficult to switch or stop using it, leading to a situation of relatively inelastic demand.
 - **Prime's saturation in the U.S. market** is apparent, because Amazon has very high penetration rates in the country. This led management to announce a tiered pricing system, wherein users can try out a monthly subscription if they are unsure about the program or don't want to pay upfront for the whole year. This plan brings flexibility to the pricing system, so is likely to remain. It should also increase penetration amongst the less affluent households.
 - The **competition in online retail** is heating up. Traditional retailers have always provided the strongest competition and a number of them are running e-commerce sites as well. Additionally, the increased use of the Internet in both developed and developing economies is attracting other players into the space. Affiliation programs are being used by big players such as eBay. Several smaller companies could also find their own niche. While the Chinese market appears ripe and Amazon has initiatives to increase penetration in the market, local company Alibaba.com is very well-entrenched there. In China, Amazon has to contend with not only Alibaba, but also a growing number of other home-grown players. Additionally, Alibaba is now targeting the American market, which will greatly increase competition for Amazon. Further, since Amazon's first mover advantage is likely to moderate over time, some market share erosion seems inevitable.
 - Amazon continues to **invest heavily on fulfillment centers, TV shows and movies, grocery, AWS, India expansion** and what not. In India, the company is making massive investments to build a logistics network that would cover the entire country. The \$5 billion investment plan is well on track but at the cost of global margins. Management has indicated that Amazon will continue with its push into the Indian e-commerce market, making the nation its fifth largest market after the U.S., the U.K. Japan and Germany. That being said, Amazon's global margins are likely to be under pressure at least for a few years in the future.
 - Most retail businesses tend to be **seasonal** and Amazon's is no different. The company's revenues get a huge boost from the holiday season each year. Notably, 29.2% of its 2021 revenues were generated in the fourth quarter of 2021. With such a huge contribution from the fourth quarter, there is an obvious drop-off in the first quarter. The dependence on consumer spending makes the business lumpy, increasing the possibility of expectations going awry. However, management usually provides a fairly conservative guidance and reported revenues are usually within the guided range.
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Last Earnings Report

Amazon Reports Loss in Q1

Amazon.com reported a first-quarter 2022 loss of \$7.56 per share against earnings of \$15.79 per share recorded in the year-ago quarter.

The company's net loss, which totaled \$3.8 billion, is inclusive of a pre-tax valuation loss of \$7.6 billion in the non-operating expenses associated with its investment in Rivian Automotive.

The adjusted bottom-line figure stands at earnings of \$4.24 per share, which missed the Zacks Consensus Estimate of \$8.73 per share.

Net sales of \$116.4 billion rose 7% year over year. Notably, the figure was within the management's guidance of \$112-\$117 billion. However, it missed the Zacks Consensus Estimate of \$117.02 billion.

We note that this reflects Amazon's slowest-ever revenue growth.

Sluggishness in the company's online stores affected its first-quarter results. Online store sales decreased 3% from the prior-year quarter to \$51.1 billion in the reported quarter.

Uncertainties related to the coronavirus pandemic and the Russia-Ukraine war were headwinds. The ongoing inflationary pressure, elevated staffing costs and supply-chain disruptions were other negatives. Also, unfavorable foreign exchange fluctuations were overhangs for the company.

Coming to the segmental details, North America revenues (59% of sales) rose 8% from the year-ago quarter to \$69.2 billion. International revenues (25% of sales) declined 6% year over year to \$28.8 billion. Amazon Web Services ("AWS") revenues (16% of sales) rose 37% year over year to \$18.4 billion.

Year-over-year revenue growth was driven by solid momentum in AWS.

Strength in Prime was a positive. The company witnessed 11% growth in its subscription services sales, which were \$8.4 billion in the reported quarter.

Strengthening relationships with third-party sellers remained a positive. In the reported quarter, sales generated by third-party seller services rose 7% on a year-over-year basis to \$25.3 billion.

Additionally, robust advertising service contributed well. Sales from these services increased 23% to \$7.9 billion.

Also, expanding smart device offerings continued to benefit the company's first-quarter performance.

Amazon expects to incur huge expenses in fuel and transportation in the days ahead, which can be primarily attributed to the ongoing inflation.

Nevertheless, the company's strong global presence, growing Prime momentum, strengthening AWS portfolio, improving Alexa skills, expanding smart devices portfolio, and growing efforts toward gaining strong traction among small and medium businesses are likely to drive its near-term financial performance.

Expanding AWS Clientele Aided Growth

AWS, which witnessed strong top-line growth, continued to gain customer momentum in the first quarter, courtesy of its highly reliable services portfolio, and the increasing number of data centers, availability zones and regions.

In the first quarter, AWS announced the completion of its first 16 AWS Local Zones in the United States. It also revealed plans to set up new Local Zones in 32 metropolitan areas in 26 countries worldwide.

On the heels of these factors, AWS experienced strong growth in its clientele with the addition of Commnet Broadband, Etisalat UAE, Amdocs, Tech Mahindra and THREAD.

Further, companies like MongoDB, T-Systems and Verizon extended their strategic relationship with AWS.

One of the existing clients, Bundesliga, the professional association football (soccer) league of Germany, debuted its two new AWS-powered match facts, Set Piece Threat and Skill.

Another client, National Hockey League, introduced its new ML-driven stat called Face-off Probability, backed by AWS.

Prime & Retail Efforts

The company continued to make strong efforts to bolster its Prime program and retail business.

Quarter Ending	03/2022
Report Date	Apr 28, 2022
Sales Surprise	-0.49%
EPS Surprise	-51.43%
Quarterly EPS	0.21
Annual EPS (TTM)	2.66

Its increasing number of Fresh grocery stores, which currently stand at 46 worldwide, remained a major positive.

Growing momentum with the company's Just Walk Out technology remained noteworthy. The company introduced the technology at two Whole Foods Market stores located in Washington, DC, and Sherman Oaks, CA, for the first time.

The launch of a brand of everyday products, Amazon Aware, with all of its products certified as carbon-neutral, bolstered its carbon-neutrality efforts.

Coming to fashion retail, the company gained momentum in the United States and Canada on the back of the View in 3D feature. The introduction of Style Feed on the Amazon app in the United States and India was another positive.

In addition to these, expanding original content and the overall content portfolio on Prime Video continued to accelerate Prime engagement. The rising number of local originals across the world remained another major positive.

Notably, Prime Video streamed the new season of the unscripted franchise LOL in Canada, France, Germany and Italy. It also streamed new seasons of Luxe Listings in Australia, Mahaan in India, Bang Bang Baby in Italy and HOMESTAY in Japan.

It streamed new locally-produced series and movies in Argentina, Australia, Brazil, Canada, France, Germany, India, Italy, Japan, Mexico, the Netherlands, Spain, and the U.K., thus gaining momentum internationally.

Apart from this, the strengthening momentum of Amazon Music contributed well.

Robust Smart Devices Portfolio

Amazon's strengthening portfolio of Fire TV was beneficial.

Improving the skills and features of Alexa helped the company in winning deals in the reported quarter.

Further, expanding family of eero devices remained noteworthy.

Quarter in Detail

Product sales (48.5% of sales) decreased 1.8% year over year to \$56.4 billion. Service sales (51.5% of sales) rose 17.6% from the year-ago quarter to \$59.9 billion.

Operating expenses were \$112.8 billion, up 13.2% from the year-ago quarter. As a percentage of revenues, the figure expanded 500 basis points (bps) on a year-over-year basis to 96.8%.

Cost of sales, fulfillment, technology and content, marketing, and general and administrative expenses increased 6.6%, 22.6%, 18.9%, 34% and 30.5% to \$66.5 billion, \$20.3 billion, \$14.8 billion, \$8.3 billion and \$2.6 billion, respectively, on a year-over-year basis.

Other operating expenses were \$249 million in the reported quarter compared with \$38 million in the year-ago quarter.

Overall operating income decreased 58.6% from the year-ago quarter to \$3.7 billion. The operating margin contracted 510 bps from the year-ago quarter to 3.1%.

Operating income for AWS was \$6.5 billion, up 56.6% year over year.

The North America segment reported an operating loss of \$1.6 billion against the operating income of \$3.4 billion in the prior-year quarter. Also, the International segment reported an operating loss of \$1.3 billion against the operating income of \$1.2 billion in the year-ago quarter.

Balance Sheet & Cash Flow

As of Mar 31, 2022, cash and cash equivalents were \$36.4 billion, up from \$36.2 billion as of Dec 31, 2021. Marketable securities totaled \$29.9 billion at the end of the first quarter, down from \$59.8 billion at the end of the fourth quarter.

Long-term debt was \$47.6 billion in the reported quarter, down from \$48.7 billion in the previous quarter.

In the first quarter, the company used \$2.8 billion of cash in operations against \$22.1 billion of cash generated from operations in the fourth quarter.

On a trailing 12-month basis, free cash flow was an outflow of \$18.6 billion compared with \$9.1 billion in the prior quarter.

Guidance

For second-quarter 2022, Amazon expects net sales between \$116 billion and \$121 billion. Net sales are expected to grow 3-7% year over year.

Management projects an unfavorable foreign exchange impact of 200 bps.

Operating income (loss) is likely to be between (\$1) billion and \$3 billion.

Recent News

On **Jul 21, 2022**, Amazon entered into a definitive agreement to acquire One Medical for \$18 per share in an all-cash transaction valued at approximately \$3.9 billion. The move is likely to expand Amazon's footprint in the healthcare industry further.

On **Jul 12, 2022**, Amazon's AWS made its managed wide area network (WAN) service, namely AWS Cloud WAN generally available.

On **Jun 9, 2022**, Amazon introduced an augmented reality powered interactive mobile experience namely 'Virtual Try-On for Shoes' to bolster its efforts in fashion retail space.

On **May 23, 2022**, Amazon's AWS made its Graviton3 processor-backed Amazon Elastic Compute Cloud (Amazon EC2) C7g instances generally available.

On **May 18, 2022**, Amazon unveiled the next-generation Fire 7 and Fire 7 Kids tablets, equipped with more innovative capabilities and Alexa compatibility. The latest tablets feature a 7-inch touchscreen, durability and a 40% longer battery life offering up to 10 hours of entertainment. They also double the RAM and provide 30% faster quad-core processor.

On **Apr 6, 2022**, Amazon's AWS was selected by Boeing as the strategic cloud provider in a bid to bring advancement in aerospace design and manufacturing.

On **Mar 2, 2022**, Amazon's AWS announced that its client Bundesliga debuted its two new Match Facts — Set Piece Threat and Skill — during Matchday 25 featuring Arminia Bielefeld versus FC Augsburg on Mar 4, 2022

On **Jan 5, 2022**, Amazon announced multi-year agreements with Stellantis. Notably, Stellantis will leverage Amazon's products, technology and AWS capabilities to deepen its push towards turning into a sustainable mobility tech company.

Valuation

Amazon shares are down 26.5% in the year-to-date period and 33.8% over the trailing 12-month period. Stocks in the Zacks sub-industry and the Zacks Retail-Wholesale sector are down 27.3% and 21.9% in the year-to-date period, respectively. Over the past year, the Zacks sub-industry and the sector are down 40.1% and 28%, respectively.

The S&P 500 index is down 17.2% in the year-to-date period and 11.2% in the past year.

The stock is currently trading at 1.93X forward 12-month sales, which compares to 1.31X for the Zacks sub-industry, 1.11X for the Zacks sector and 3.3X for the S&P 500 index.

Over the past five years, the stock has traded as high as 4.31X and as low as 1.84X, with a 5-year median of 3.06X. Our Outperform recommendation indicates that the stock will perform better than the market. Our \$141 price target reflects 2.22X forward 12-month sales.

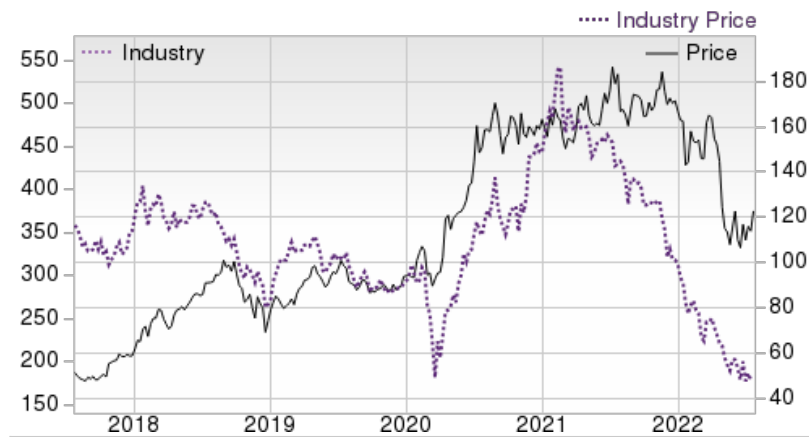
The table below shows summary valuation data for AMZN

Valuation Multiples - AMZN					
		Stock	Sub-Industry	Sector	S&P 500
P/S F12M	Current	1.93	1.31	1.11	3.3
	5-Year High	4.31	3.77	2.1	4.24
	5-Year Low	1.84	1.31	1.11	2.93
	5-Year Median	3.06	2.73	1.77	3.61
P/B TTM	Current	8.16	4.73	4.82	5.72
	5-Year High	28.43	21.64	12.54	7.47
	5-Year Low	7.77	4.3	4.62	3.81
	5-Year Median	18.46	13.33	9.56	5.33
EV/Sales TTM	Current	2.25	1.54	1.31	3.27
	5-Year High	5.38	5.24	2.63	4.46
	5-Year Low	2.14	1.4	1.25	2.48
	5-Year Median	3.71	3.63	2.08	3.63

As of 07/22/2022

Source: Zacks Investment Research

Industry Analysis Zacks Industry Rank: Top 38% (97 out of 252)



Top Peers

Company (Ticker)	Rec	Rank
Coupage, Inc. (CPNG)	Outperform	2
JD.com, Inc. (JD)	Outperform	3
Pinduoduo Inc. Sponsored ADR (PDD)	Outperform	1
Alibaba Group Holding Limited (BABA)	Neutral	3
Carvana Co. (CVNA)	Neutral	3
eBay Inc. (EBAY)	Neutral	3
Wayfair Inc. (W)	Neutral	3
Qurate Retail Group, Inc. (QRTEA)	Underperform	5

Industry Comparison Industry: Internet - Commerce				Industry Peers		
	AMZN	X Industry	S&P 500	BABA	CPNG	JD
Zacks Recommendation (Long Term)	Outperform	-	-	Neutral	Outperform	Outperform
Zacks Rank (Short Term)	3	-	-	3	2	3
VGM Score	D	-	-	B	C	A
Market Cap	1,245.50 B	1.04 B	28.99 B	272.75 B	31.09 B	83.00 B
# of Analysts	10	4	12	3	2	2
Dividend Yield	0.00%	0.00%	1.68%	0.00%	0.00%	0.00%
Value Score	C	-	-	B	D	B
Cash/Price	0.05	0.33	0.05	0.28	0.12	0.35
EV/EBITDA	16.52	2.17	13.24	6.49	-21.64	73.53
PEG Ratio	9.92	1.24	1.91	1.51	NA	NA
Price/Book (P/B)	9.30	2.05	3.30	1.61	15.25	2.05
Price/Cash Flow (P/CF)	18.41	18.92	12.99	13.39	NA	34.64
P/E (F1)	244.84	23.94	17.66	14.15	NA	33.11
Price/Sales (P/S)	2.61	1.47	2.78	2.05	1.61	0.54
Earnings Yield	0.41%	1.05%	5.62%	7.07%	-2.44%	3.02%
Debt/Equity	0.35	0.05	0.61	0.12	0.30	0.06
Cash Flow (\$/share)	6.65	0.08	8.16	7.51	-0.60	1.78
Growth Score	C	-	-	C	B	B
Hist. EPS Growth (3-5 yrs)	77.78%	-2.34%	10.45%	22.59%	NA	109.17%
Proj. EPS Growth (F1/F0)	-84.57%	-0.07%	9.16%	-14.44%	60.19%	10.06%
Curr. Cash Flow Growth	45.25%	14.45%	18.72%	-24.88%	211.53%	-17.39%
Hist. Cash Flow Growth (3-5 yrs)	45.19%	8.70%	10.77%	19.05%	NA	135.66%
Current Ratio	0.96	1.69	1.26	1.66	1.22	1.32
Debt/Capital	26.19%	10.94%	39.93%	11.70%	23.07%	6.20%
Net Margin	4.48%	-2.59%	13.50%	6.35%	-7.54%	-1.03%
Return on Equity	21.60%	-12.95%	18.64%	11.17%	-48.47%	3.95%
Sales/Assets	1.21	0.76	0.54	0.49	2.24	2.01
Proj. Sales Growth (F1/F0)	10.90%	4.85%	8.09%	2.60%	16.10%	6.60%
Momentum Score	F	-	-	B	C	A
Daily Price Chg	-1.77%	-2.25%	-0.93%	-4.30%	-7.11%	-3.80%
1 Week Price Chg	7.81%	5.98%	2.55%	-1.79%	11.65%	2.19%
4 Week Price Chg	5.12%	-2.93%	1.28%	-14.46%	36.64%	-3.80%
12 Week Price Chg	-1.50%	-16.06%	-4.12%	3.63%	37.06%	-0.13%
52 Week Price Chg	-33.04%	-59.72%	-10.20%	-51.29%	-54.31%	-14.82%
20 Day Average Volume	61,467,456	463,034	1,684,572	20,783,496	10,220,631	6,468,409
(F1) EPS Est 1 week change	-2.13%	0.00%	0.00%	0.00%	0.00%	0.00%
(F1) EPS Est 4 week change	-8.10%	0.00%	-0.15%	-0.24%	0.00%	3.08%
(F1) EPS Est 12 week change	-54.20%	-7.11%	0.04%	-2.61%	22.73%	8.50%
(Q1) EPS Est Mthly Chg	-12.16%	0.00%	-0.21%	0.41%	0.00%	-1.20%

Zacks Stock Rating System

We offer two rating systems that take into account investors' holding horizons: Zacks Rank and Zacks Recommendation. Each provides valuable insights into the future profitability of the stock and can be used separately or in combination with each other depending on your investment style.

Zacks Recommendation

The Zacks Recommendation aims to predict performance over the next 6 to 12 months. The foundation for the quantitatively determined Zacks Recommendation is trends in the company's estimate revisions and earnings outlook. The Zacks Recommendation is broken down into 3 Levels; Outperform, Neutral and Underperform. Unlike many Wall Street firms, we have an excellent balance between the number of Outperform and Neutral recommendations. Our team of 70 analysts are fully versed in the benefits of earnings estimate revisions and how that is harnessed through the Zacks quantitative rating system. But we have given our analysts the ability to override the Zacks Recommendation for the 1200 stocks that they follow. The reason for the analyst over-rides is that there are often factors such as valuation, industry conditions and management effectiveness that a trained investment professional can spot better than a quantitative model.

Zacks Rank

The Zacks Rank is our short-term rating system that is most effective over the one- to three-month holding horizon. The underlying driver for the quantitatively-determined Zacks Rank is the same as the Zacks Recommendation, and reflects trends in earnings estimate revisions.

Zacks Style Scores

The Zacks Style Score is as a complementary indicator to the Zacks rating system, giving investors a way to focus on the highest rated stocks that best fit their own stock picking preferences.

Academic research has proven that stocks with the best Value, Growth and Momentum characteristics outperform the market. The Zacks Style Scores rate stocks on each of these individual styles and assigns a rating of A, B, C, D and F. We also produce the VGM Score (V for Value, G for Growth and M for Momentum), which combines the weighted average of the individual Style Scores into one score. This is perfectly suited for those who want their stocks to have the best scores across the board.

As an investor, you want to buy stocks with the highest probability of success. That means buying stocks with a Zacks Recommendation of Outperform, which also has a Style Score of an A or a B.

Value Score	C
Growth Score	C
Momentum Score	F
VGM Score	D

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